The 13-week cash forecast, in plain words

What FinPilot's cash forecast actually tells you, how it is worked out, and what it cannot know. Written for someone seeing it for the first time.

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1. The one-sentence version

> It answers one question: **how much cash will I have in the bank, each week, for the next three months?**

Profit and cash are not the same thing. A business can be profitable on paper and still fail to pay salaries, because the profit is sitting in invoices customers have not paid yet. The forecast ignores profit and follows the money.

2. Why 13 weeks?

13 weeks is one quarter, about three months. It is the standard window businesses use because it is the balance point between two problems:

- Shorter than this, and you see a cash problem too late to do anything about it.
- Longer than this, and the numbers are guesswork - you do not yet know who will buy from you in month five.

13 weeks is far enough ahead to act - chase a customer, delay a purchase, arrange an overdraft - and near enough that the numbers are still real.

3. How FinPilot works it out

It uses only what is already in your books. Nothing is invented.

Step	What it does	Where the number comes from
Start	Takes the cash you have **right now**	Balance of the Cash and Bank accounts in your ledger (codes 1110 and 1120)
Money in	Adds up unpaid customer invoices and places each one in the week it is **due**	Invoices with status issued, partly paid or overdue
Money out	Adds up unpaid supplier bills and places each one in the week it is **due**	Bills you have approved but not fully paid
Run it	Walks forward week by week: cash + money in - money out	The running balance is the forecast

So the forecast is just your current bank balance, pushed forward through the invoices and bills that already exist, sorted by their due dates.

4. Why there are three lines, not one

A single number would be a lie, because the biggest unknown is not *how much* customers owe you - you know that exactly - it is **how many of them actually pay on time**. So FinPilot runs the same calculation three times, with three different assumptions:

Line	Assumes	Read it as
P90	**100%** of what is due gets collected on time	The good case. Everyone pays as agreed.
P50	**90%** of what is due gets collected on time	The realistic middle. Plan with this one.
P10	**70%** of what is due gets collected on time	The bad case. Make sure you survive this one.

> The gap between the top line and the bottom line is your **risk**. A wide gap means you are heavily dependent on customers paying on time.

5. A worked example

Say you have Rs. 2,00,000 in the bank today, and in week 3 you have Rs. 1,00,000 of invoices due in and a Rs. 40,000 bill due out.

Line	Money in (week 3)	Money out	Cash at end of week 3
P90 (100%)	Rs. 1,00,000	Rs. 40,000	**Rs. 2,60,000**
P50 (90%)	Rs. 90,000	Rs. 40,000	**Rs. 2,50,000**
P10 (70%)	Rs. 70,000	Rs. 40,000	**Rs. 2,30,000**

Same invoices, same bills - only the collection assumption changes. Repeat for 13 weeks and you get three lines on a chart.

6. What you actually do with it

- **Find the lowest point.** The week where the bottom line dips closest to zero is the week to worry about. That is the whole point of the chart.
- **If the bad case goes below zero**, you have a problem with a date on it. You can chase those specific invoices, delay a purchase, or arrange credit - weeks before it happens.
- **If even the good case dips**, the problem is not collections. You have promised more money out than is coming in.

7. What it cannot know (read this part)

A forecast you trust blindly is worse than none. These limits are real:

Limitation	What it means for you
It only counts invoices and bills **already in the books**	Sales you have not raised an invoice for yet do not appear. For a business that invoices after the fact, the later weeks will look emptier than reality.
Money out is **not** scenario-adjusted	All three lines assume you pay every supplier in full, on time. Only money coming *in* varies. So the real bad case is slightly better than P10 shows - you could always delay paying someone.

P10 / P50 / P90 are **fixed assumptions**, not statistics	They are set to 70%, 90% and 100% in the code. They are not calculated from your actual payment history, so they are not true percentiles.
It uses the **due date**, not a predicted payment date	A customer who always pays two weeks late is still shown as paying on the due date.
It warns you when your history is thin	With under 6 months of data FinPilot labels the forecast *indicative, not predictive*. Believe that warning.

8. If you only remember one thing

> It is not a prediction of the future. It is your **existing** invoices and bills, laid out on a calendar, with three guesses about how many customers pay on time. Its value is showing you the bad week **early enough to do something about it**.